Module 8: Marvell — Student Packet

Start here — Marvell

Read before class (5–8 minutes): the three facts and three terms below. The full blog, company summary, filing, and detailed role pages are optional depth unless a specific passage is assigned.

In class: review the worked example, explain the decision in your own words, then read only your assigned role in the student packet below. Four leads make decisions; the Account Manager integrates them. The packet works without SkillSimm access.

Three essential facts

- Foundry and assembly commitments total $2,665.8 million; $1,871.8 million falls in fiscal 2027.
- One distributor accounts for 37% of revenue.
- The reported net margin includes a one-time gain on a business sale; it is not the operating margin.

Three terms

- Committed: spending already obligated, with an exit cost.
- Sticky: spending that is difficult to reduce quickly without damage.
- Flexible: spending that can be adjusted relatively quickly.

Worked example — discuss before opening the simulation

Illustrative startup: sort a signed annual lease, a specialist team, and next month's optional advertising. Now reduce forecast sales by 20% and explain which expenses can actually change.

Readiness check: If sales fall next month, which costs remain and what would stopping them cost? Ask a teammate to explain the task back before starting.

Choose your role

Read the primer above and only your assigned role below. The detailed role pages and full company summary are optional references. Record the decision text, evidence, trade-off, and what would change your mind.

Financial Lead

Decision

Where does the money go?

Your four choices — pick one

- **(A) Fund the acquisitions and the contingent payments.** Celestial and XConn cost about $1.6 billion in cash, and Celestial may require more cash and shares through fiscal 2029.
- **(B) Retire debt.** $4.5 billion is outstanding with $499.8 million due within twelve months, and interest expense was $202.6 million — permanently reducing the fixed charge lowers the floor every future year has to clear.
- **(C) Hold enough cash against the $1,871.8 million of foundry commitments due in fiscal 2027.** It is the least reversible obligation on the books and it gets paid whether or not the demand behind it shows up.
- **(D) Return it to shareholders** through buybacks and dividends. We grew 42%, earned a 32.6% net margin, and the balance sheet has never looked stronger.

Need more evidence? Detailed role reference.

Marketing Lead

Decision

One distributor is 37% of revenue, and everything behind it is committed for years. Where does the commercial effort go?

Your four choices — pick one

- **(A)** Into **securing longer, firmer commitments from the largest customers**, so the demand side of the ladder starts to look like the supply side.
- **(B)** Into **widening the customer base.** Our costs are committed for years and our revenue arrives on purchase orders that can be cancelled with short notice — and one distributor has gone from 24% to 37% of revenue in two years.
- **(C)** Into **supporting the customers building inventory** ahead of export restrictions. They are buying now, they are buying a lot, and revenue booked is revenue booked.
- **(D)** Into **the data center market as hard as possible.** It grew 46% and that is where the AI demand behind every one of these commitments actually is.

Need more evidence? Detailed role reference.

Operation Lead

Decision

Seventy percent of every commitment you have falls in one year. What do you do with the ladder?

Your four choices — pick one

- **(A) Diversify where it is made.** Most qualified foundries sit in one region of Taiwan and assembly and test in the Pacific Rim — the concentration risk is geographic before it is financial.
- **(B) Re-shape the ladder** so commitments are staggered across years instead of stacked. $1,871.8 million of the $2,665.8 million total falling in one year is a single bet on a single demand forecast.
- **(C) Negotiate the exit terms rather than the volumes.** If cancellation costs and loss of queue priority are the real penalty, that is what should be renegotiated.
- **(D) Commit more capacity now while it is available.** AI demand is here, data center revenue grew 46%, and reserved capacity is the constraint on how much of it we can serve.

Need more evidence? Detailed role reference.

Tech Lead

Decision

R&D is $2.08 billion and it is the hardest money in the company to stop. How do you budget it?

Your four choices — pick one

- **(A) Stage it against committed design wins.** R&D is the stickiest money we have — stopping a programme mid-flight loses the socket and the team — so each stage should be tied to a customer commitment that already exists.
- **(B) Hold the R&D dollar amount flat** and let it fall as a share of revenue. It has already gone from 33.9% to 25.3% and the business grew anyway.
- **(C) Spend up to keep the ratio** where the industry expects it. If revenue is $8.2 billion, R&D should scale with it, and cutting the ratio signals retreat.
- **(D) Concentrate on integrating what we just bought.** Celestial and XConn cost about $1.6 billion plus contingent payments through fiscal 2029, and unintegrated acquisitions are the most expensive shelf-ware there is.

Need more evidence? Detailed role reference.

Account Manager

Hear the four leads; rank Money, Commitments, Concentration, Engineering from 1–4 and distribute 100 priority points in blocks of 10. Defend the first priority with evidence, describe one trade-off, and name a condition that would change your ranking. There is no required ranking independent of your reasoning.

Save before leaving

Decision → evidence and source → trade-off → change after discussion → concept and venture application. Keep your own copy for the reflection.

Venture workshop

Classify five venture expenses as committed, sticky, or flexible. State their stopping costs and recalculate the budget with revenue 20% below your base case. **Output:** A spending table and downside scenario for Final Section E.

Submission

Submit your individual reflection in the existing HuskyCT assignment at its current deadline. Use the five headings in the reflection guide; from October 20 onward, aim for 300–500 words. The workshop is project preparation, not a separate new graded submission.